

**THE UNITED REPUBLIC OF TANZANIA
NATIONAL EXAMINATIONS COUNCIL OF TANZANIA
ADVANCED CERTIFICATE OF SECONDARY EDUCATION
EXAMINATION**

151/2

ECONOMICS 2
(For Both School and Private Candidates)

Duration: 3 Hours

Year: 2026

Instructions

1. This paper consists of sections A, B and C with a total of **eight (8)** questions.
2. Answer **all** questions in section A and choose **two (2)** questions from each of sections B and C.
3. Section A carries **twenty (20)** marks, sections B and C carry **forty (40)** marks each.
4. Non-programmable calculators may be used.
5. You should **not** write any notes in this question paper.
6. Communication devices and any unauthorised materials are **not** allowed in the examination room.
7. Write your **Examination Number** on every page of your answer booklet(s).

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SECTION A (20 Marks)

Answer all questions in this section.

1. "Effective development strategies enable the economy of a particular country to increase both qualitatively and quantitatively." Briefly describe five main development strategies.
2. "SADC is one of the major economic groupings which enable the member states to promote sustainable economic growth and rational utilization of the scarce resources in the regions." Briefly justify this statement by giving five objectives of SADC in promoting sustainable economy.

SECTION B (40 Marks)

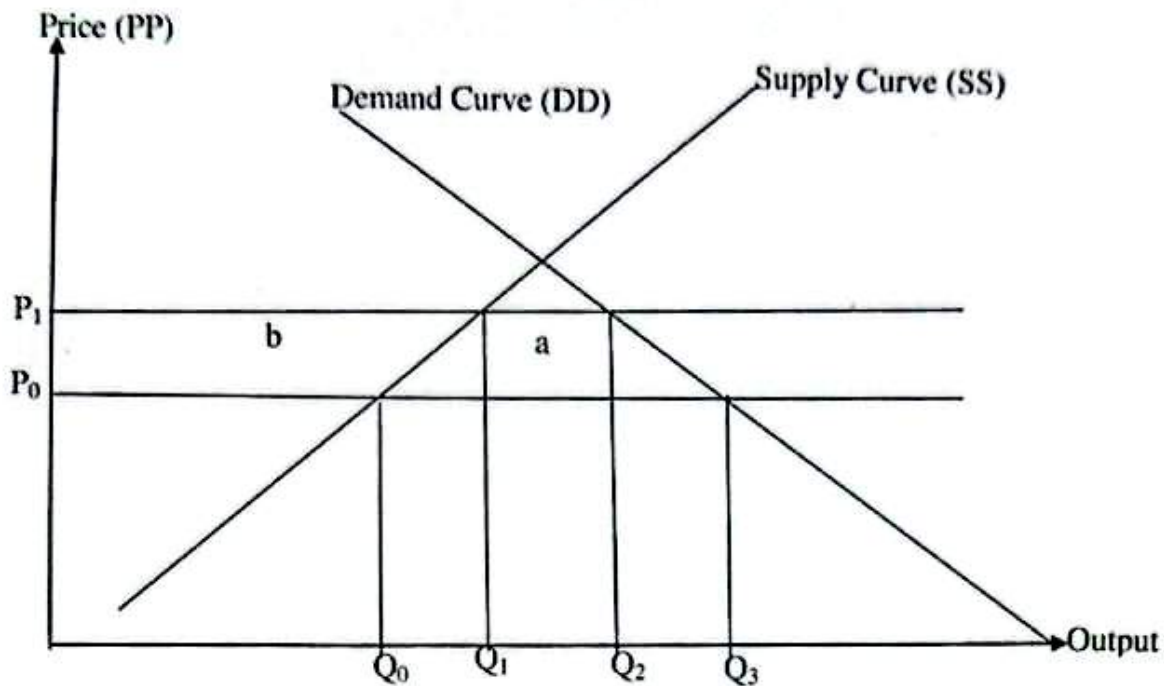
Answer two (2) questions from this section.

3. (a) Study the data given in the following table and answer the questions that follow:

Cumulative Percentage of the Recipient Population	Diagonal Perfect Equality in Income Groups	Cumulative Percentage of the Income to the Group in Country A	Cumulative Percentage of the Income to the Group in Country B
0.0	0.0	0.0	0.0
10	10	0.3	0.3
20	20	0.9	1.2
30	30	1.8	3.1
40	40	4.8	7.1
50	50	10.8	13.8
60	60	20.8	23.4
70	70	33.0	36.4
80	80	49.0	49.0
90	90	69.0	56.8
100	100	100	100

- (i) Use the data to draw Lorenz Curves for country A and B.
 - (ii) Give the economic interpretation of what is revealed by the curves.
 - (b) Identify five measures which can be adopted in a country to reduce income inequality.
4. (a) If the selling price of a kilogram of sugar with VAT inclusive is 2,600.00 Tshs and the seller is required to pay 18 percent tax to the government, how much is the seller required to pay to the government?
 - (b) Briefly explain five advantages of VAT and four disadvantages of VAT in the Tanzanian economy.

5. Study the following diagram and answer the questions that follow.



- (a) Explain five main effects of imposing a tariff in the economy.
(b) Briefly describe five disadvantages of protectionism through a tariff in the economy.

SECTION C (40 Marks)

Answer **two (2)** questions from this section.

6. "Liquidity and profitability are major essentials of a sound banking system." Substantiate this statement by describing six essentials of a sound banking system.
7. "Natural factors and inelastic demand of the agricultural products are major causes of the fluctuation of prices of agricultural products." In six points, explain the causes of price fluctuation of agricultural products in the Tanzanian economy.
8. The board of external trade plays a significant role in attracting international importers for our economy. Giving six points, evaluate the contribution of the board of external trade to the Tanzanian economy.